

frailties which is very rarely achieved. People like to take profits and don't like to take losses. They also hate to repurchase something at a price higher than they sold it. Human likes and dislikes will wreck any investment program. Only logic, reason, information and experience can be listened to if failure is to be avoided.

Little of a definite nature can be outlined as the proper procedure when the question is whether or not to take profits. A sound practice is to realize a 100% gain with at least part of a large commitment. Such a profit is equivalent to dividends for sixteen years on a straight 6% basis, not compounded and without adjustment for taxes. If a doubling of one's investment can be achieved within six months to a year, the investor can then comfortably enter a long period in which cash is held idle (until the next opportunity presents itself) without diminishing final results to anything nearly as poor as the general average—frequently a net loss—which is obtained through continuous full investment.

It is advisable always to keep uninvested reserve funds on hand in order to take advantage of unexpected opportunities. The need for buying power in such cases may in itself be a factor dictating the sale of securities already held.

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*Cutting losses is the one and only rule of the markets that can be taught with the assurance that it is always the correct thing to do.*

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Perhaps the best way to describe when to sell is to review handling of a commitment from its beginning. Belief that a stock is in a buying range justifies a small initial purchase. If the stock declines, it should be sold at a small and quick loss. But if it advances and the indications which supported the original purchase continue favorable,